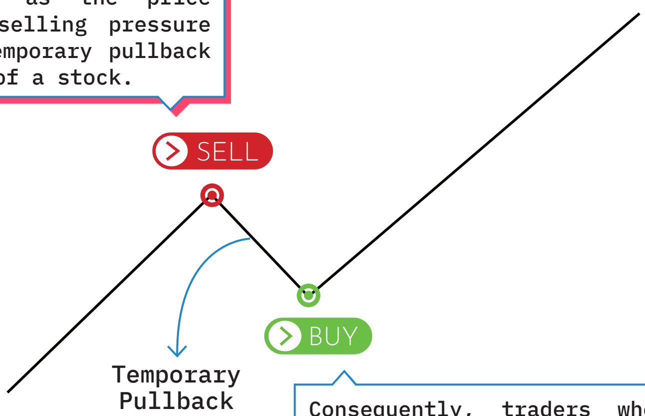
MARKET PSYCHOLOGY BEHIND THE PULLBACK

A pullback can occur due to a combination of factors such as profit-taking by existing traders, short-term trend exhaustion, and the entry of new traders taking advantages of lower prices. It is important to understand the underlying market psychology behind pullbacks as to comprehend why the pullback strategy is an effective trading approach.

The market psychology behind a pullback has its crux in the belief that after a temporary break, the prevailing trend is likely to continue.

During an uptrend, traders are more likely to sell and secure their profits as the price rises. This selling pressure leads to a temporary pullback in the price of a stock.



Consequently, traders who missed the initial move see the pullback as an opportunity to enter into the markets at a lower price.

Traders believe that this pullback is a temporary correction within a larger trend, and aim to capture the subsequent continuation of that trend.

Now, let's get into the interesting part of the chapter. Let us talk about the Pullback price action trading strategy.

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